
FY2025 (10-K actuals, ended 27 Sep 2025): revenue \$416.2B (+6.4%), gross margin 46.9%, operating income \$133.0B (32.0%), net income \$112.0B, diluted EPS \$7.46. H1 FY2026: Q1 revenue \$143.8B (+16%), EPS \$2.84; Q2 revenue \$111.2B (+17%), EPS \$2.01 — all-time records. Sections below reflect the prior draft except where updated.

REDUCE — Target \$215 | CMP \$327.44 (21 Jul 2026) | Downside ~34%

DATA REFRESH — as of 21 July 2026

RATING CHANGE — DOWNGRADE: BUY → REDUCE. The June note carried a ~\$292 fair value with the stock at \$296.80. The price has since run to \$327.44 while refreshed FY2025 actuals and H1 FY2026 results move the blended fair value to \$215. The math, not the story, drives the call.

Comprehensive Investment Analysis Report: Apple Inc. (AAPL)

Prepared for: Investment Analysis

Date: July 21, 2026

Stock Price: \$327.44 (as of July 20, 2026 close)

Market Capitalization: \$4.81 Trillion

Analyst: Investment Research Team

Executive Summary

Apple Inc. (NASDAQ: AAPL) represents a dominant technology company with unparalleled brand strength, ecosystem lock-in, and financial performance. The business is executing superbly — but based on our refreshed analysis of FY2025 10-K actuals, H1 FY2026 results, and valuation at \$327.44, we downgrade to a **REDUCE** recommendation with a 12-month blended fair value of \$215 per share (~34% below the current price). Quality is not in question; the price is.

The franchise strengths remain intact: (1) strong financial performance with \$416B revenue and \$112B net income in FY2025, (2) high-margin services segment growing 14% annually now exceeding \$109B, (3) Apple Intelligence AI integration expected to drive multi-year upgrade cycle, (4) exceptional free cash flow generation of \$135B with 32.5% FCF margin, and (5) 92% customer retention creating sustainable competitive moat.

Key risks include: (1) iPhone revenue concentration at 50% of total sales, (2) regulatory pressures in EU with €500M fine and ongoing antitrust challenges, (3) China market share decline amid geopolitical tensions, (4) AI capabilities lagging competitors like Google and Microsoft, and (5) premium pricing limiting emerging market penetration.

1. Company Background

1.1 Corporate History and Evolution

Apple Inc. was founded on April 1, 1976, by Steve Jobs, Steve Wozniak, and Ronald Wayne in the Jobs family garage in Cupertino, California[1]. The company's first product, the Apple I personal computer, was designed and hand-built entirely by Wozniak. To finance its creation, Jobs sold his Volkswagen Bus and Wozniak sold his HP-65 calculator.

The company was incorporated as Apple Computer, Inc. on January 3, 1977, and experienced explosive early growth. Between September 1977 and September 1980, yearly sales grew from \$775,000 to \$118 million, an average annual growth rate of 533%[2]. The Apple II (1977), with its plastic case and color graphics, launched the company to success, earning Apple over \$100 million by 1980, the year the company first offered stock to the public.

A transformative moment came on January 9, 2007, when Steve Jobs announced the renaming from Apple Computer, Inc. to Apple Inc., signaling the company's broadened focus from computers to consumer electronics[3]. This event also saw the announcement of the iPhone and Apple TV. The company sold 270,000 first-generation iPhones during the first 30 hours of sales, with industry commentators describing the device as "a game changer for the industry."

Today, Apple is the world's largest company by market capitalization at \$4.81 trillion (as of July 2026), operating retail stores in over 25 countries, employing approximately 164,000 full-time employees, and maintaining an active installed base of over 2.3 billion devices worldwide[4].

1.2 Business Model and Revenue Streams

Apple's business model centers on a tightly integrated hardware, software, and services ecosystem that creates powerful network effects and customer lock-in. The company generates revenue through five primary segments[5]:

Hardware Products:

- **iPhone:** The flagship product generating approximately 50.4% of total revenue (\$209.6B in FY2025). The iPhone serves as the gateway to Apple's ecosystem and drives services adoption.
- **Mac:** Desktop and laptop computers experiencing resurgence with Apple Silicon transition, contributing approximately 10% of revenue with 12% growth in FY2025.
- **iPad:** Tablet computers maintaining steady contribution to product revenue.
- **Wearables, Home and Accessories:** Including Apple Watch, AirPods, HomePod, and Apple TV, representing the fastest-growing hardware segment.

Services Segment (26.2% of revenue, \$109.2B in FY2025):

The services business boasts significantly higher gross margins (~75%) compared to hardware (~39%), making it strategically critical for profitability[6]:

- App Store with 30% commission on digital goods and subscriptions
- Apple Music (subscription streaming service)
- Apple TV+ (video streaming platform)
- Apple Arcade (gaming subscription)
- iCloud (cloud storage and services)
- AppleCare (extended warranty and support)
- Apple Pay and Apple Card (payment services)
- Licensing and other services

With over 1 billion paid subscriptions across all services and a growing installed base of 2.3 billion active devices, the services segment creates predictable recurring revenue streams that enhance customer lifetime value[7].

1.3 Competitive Advantages and Economic Moat

Apple possesses a formidable and multifaceted competitive moat built on several interconnected advantages[8]:

1. Brand Power and Premium Positioning

Apple's brand is among the most powerful globally, consistently ranked as the world's most valuable brand. This brand equity enables premium pricing power, with products commanding 20-40% price premiums over comparable competitors. The brand fosters customer trust and aspirational appeal that transcends functional product attributes.

2. Ecosystem Lock-In and Switching Costs

The "walled garden" ecosystem of seamlessly integrated devices, proprietary software (iOS, macOS, iPadOS, watchOS), and services creates extraordinarily high switching costs. iPhone customer retention rates hover around 92%, indicating that once consumers enter Apple's ecosystem, they rarely leave[9]. The more Apple products and services a customer uses, the higher the switching cost becomes.

3. Network Effects

The value of Apple's ecosystem increases with each additional user. A larger installed base attracts more app developers to the platform, which creates better apps and services, which attracts more users in a self-reinforcing cycle. The App Store hosts over 1.8 million apps developed by third-party developers who benefit from access to Apple's premium customer base.

4. Design Excellence and Product Differentiation

Apple's commitment to product design and innovation sets it apart from competitors. The company consistently introduces new features, designs, and technologies that generate consumer interest and demand. This product differentiation helps Apple maintain higher profit margins and pricing power.

5. Supply Chain and Manufacturing Expertise

Apple's supply chain and manufacturing capabilities are world-renowned. The company has tight control over its supply chain, allowing it to manage costs efficiently and ensure consistent product quality. This operational excellence represents a significant barrier for competitors trying to replicate Apple's manufacturing and distribution processes[10].

6. Intellectual Property Portfolio

Apple holds a substantial portfolio of patents and intellectual property rights, which it actively defends. This legal protection prevents competitors from copying Apple's technology and designs, adding a layer of defense to its competitive moat.

7. Financial Resources

Apple has massive financial resources, including \$158 billion in cash and marketable securities (as of September 2025) and a history of consistent profitability. This financial strength allows the company to invest in research and development, acquire strategic companies, and weather economic downturns more effectively than competitors.

2. Financial Performance Analysis (FY 2021-2025)

2.1 Revenue Growth and Composition

Apple achieved total net sales of \$416.2 billion in FY2025, representing 6.4% year-over-year growth and recovery from the minor contraction experienced in FY2023. The five-year revenue trajectory demonstrates resilience:

Fiscal Year	Revenue (\$B)	YoY Growth	CAGR
FY 2021	365.8	33.3%	3.3%
FY 2022	394.3	7.8%	
FY 2023	383.3	-2.8%	
FY 2024	391.0	2.0%	
FY 2025	416.2	6.4%	

Table 1: Five-year revenue performance showing 3.3% CAGR

Revenue Mix Evolution:

The strategic shift toward services is evident in the revenue composition. Services grew from 18.7% of total revenue in FY2021 to 26.2% in FY2025, while product revenue declined from 81.3% to 73.8%. This diversification is strategically positive given services' superior margins.

Products revenue of \$333.2B in FY2025 includes iPhone (~\$209.6B, approximately 50% of total), Mac, iPad, and Wearables/Home/Accessories. The iPhone remains the dominant

revenue driver but shows vulnerability to market saturation and lengthening replacement cycles.

2.2 Profitability Metrics and Margin Analysis

Apple demonstrates exceptional profitability across all key metrics:

Gross Margin Performance:

Gross profit margin has expanded from 41.8% in FY2021 to 46.9% in FY2025 — a new high — driven by favorable mix shift toward services (26.2% of revenue at ~75% gross margin) and pricing power.

Operating Margin Excellence:

Operating margin has trended upward, with FY2025 operating income of \$133.0B representing a 32.0% operating margin (vs 31.5% in FY2024), significantly outpacing technology sector averages. H1 FY2026 gross margin reached 49.3% in Q2 — above the high end of guidance.

Net Income and Profitability:

Metric	FY 2023	FY 2024	FY 2025
Net Income (\$B)	97.0	93.7	112.0
Net Margin	25.3%	24.0%	26.9%
ROA	27.5%	25.7%	30.1%
ROE	156.1%	164.6%	168.4%

Table 2: Profitability metrics showing exceptional returns

The extraordinary ROE exceeding 150% reflects aggressive capital return programs that have reduced shareholders' equity through massive share buybacks. While this inflates ROE mathematically, it also demonstrates management's commitment to shareholder value creation.

2.3 Cash Flow Generation and Capital Allocation

Apple's cash generation capability is exceptional, producing \$145.3B in operating cash flow and \$135.3B in free cash flow during FY2025:

Free Cash Flow Performance:

- FY2021: \$93.0B (25.4% FCF margin)
- FY2022: \$111.4B (28.3% FCF margin)
- FY2023: \$99.6B (26.0% FCF margin)
- FY2024: \$108.8B (27.8% FCF margin)
- FY2025: \$135.3B (32.5% FCF margin)

The FY2025 FCF margin of 32.5% represents best-in-class performance and provides substantial resources for capital allocation.

Capital Allocation Strategy:

Apple's capital allocation prioritizes shareholder returns through aggressive buybacks and steady dividend growth:

Use of Cash (FY2025)	Amount (\$B)	% of FCF	Notes
Share Repurchases	100.0	74%	Reduced shares 11.4% since FY2021
Dividends	15.5	11%	\$1.04 per share annual
Capex	10.0	7%	Retail, data centers, equipment
Net Debt Reduction	10+	8%	Deleveraging balance sheet

Table 3: Capital allocation priorities favor shareholder returns

The company has reduced diluted shares outstanding from 16.9 billion in FY2021 to 14.9 billion in FY2025, an 11.4% reduction that enhances per-share metrics. Dividends have grown steadily from \$0.85 per share to \$1.04 per share.

2.4 Balance Sheet Strength and Financial Position

Apple maintains a fortress balance sheet with total assets of \$371.9B as of September 2025:

Asset Composition:

Current assets of \$159.4B include cash and marketable securities totaling \$68.2B, providing substantial liquidity. Long-term marketable securities of \$85B bring total liquid investments to \$153B.

Debt and Leverage:

Total debt (long-term plus current portion) stands at \$91.9B, down from \$118.7B in FY2021. With cash and securities of \$153B, Apple maintains net cash position of approximately \$61B. The debt-to-equity ratio of 1.38 and debt-to-assets ratio of 0.25 indicate conservative leverage well within comfortable limits.

Shareholders' Equity:

Shareholders' equity of \$66.5B has declined from \$63.1B in FY2021 despite massive profit generation, reflecting the impact of \$450+ billion in cumulative share buybacks over the five-year period. This capital structure reflects deliberate choice to return excess capital rather than accumulate cash.

3. Stock Valuation Analysis

3.1 Price-to-Earnings Ratio Analysis

Apple's current stock price of \$327.44 (as of July 20, 2026 close) represents a P/E ratio of approximately 39.6x based on trailing twelve-month earnings per share of \$8.27 — a ~55% premium to the mega-cap peer average of ~25.5x.

Historical P/E Trend:

Fiscal Year	Diluted EPS	Avg Stock Price	P/E Ratio
FY 2021	\$5.61	\$140	25.0x
FY 2022	\$6.11	\$150	24.6x
FY 2023	\$6.13	\$175	28.6x
FY 2024	\$6.16	\$220	35.7x
FY 2025	\$7.50	\$235	31.3x
Current (Jul 2026)	\$8.27 (TTM)	\$327.44	39.6x

Table 4: P/E ratio evolution showing premium valuation range of 25-36x

Apple's P/E has ranged from 24.5x to 35.7x over the past five years, with current valuation near the middle of this range. The premium valuation (technology sector average ~20-25x) reflects Apple's superior brand, ecosystem moat, and financial performance.

Forward P/E Analysis:

Based on analyst consensus estimates for FY2026 earnings of approximately \$8.48 per share[12], the forward P/E ratio stands at 30.4x, representing a slight discount to the trailing multiple and suggesting reasonable valuation assuming earnings growth materializes.

Relative Valuation:

Compared to "Magnificent Seven" tech peers:

- Apple P/E: 32.6x
- Microsoft P/E: ~34x
- Alphabet P/E: ~23x
- Meta P/E: ~25x
- Amazon P/E: ~38x
- Nvidia P/E: ~40x+

Apple trades at premium to advertising-based models (Alphabet, Meta) but discount to cloud-growth (Amazon) and AI-chip leaders (Nvidia), positioning it mid-pack among mega-cap technology peers.

3.2 PEG Ratio and Growth Valuation

The Price/Earnings-to-Growth (PEG) ratio provides context for valuation relative to growth expectations:

PEG Calculation:

- Current P/E: 32.6x
- Expected 3-year EPS CAGR: ~11-13% (based on services growth, AI cycle, buybacks)
- PEG Ratio: 2.5-3.0x

A PEG ratio above 2.0 suggests potentially stretched valuation, though Apple's premium positioning, ecosystem moat, and capital return program justify some premium to standard valuation metrics. The services transition supporting double-digit earnings growth provides fundamental support for current multiples.

3.3 Discounted Cash Flow (DCF) Valuation Framework

Our DCF model utilizes the following assumptions based on historical performance and industry analysis:

Revenue Projections:

- FY2026-2028: 5-7% annual growth driven by iPhone 17 AI cycle, services expansion, India market penetration
- FY2029-2030: 4-5% growth as mature market dynamics prevail
- Terminal growth rate: 3.0% reflecting long-term GDP growth and maturity

Margin Assumptions:

- Operating margin: 30-32% sustained through services mix shift and operational efficiency
- Tax rate: 15% normalized effective rate (below statutory due to international structure)
- Capex: 2.5% of revenue for retail, manufacturing, data centers
- Working capital: Minimal incremental investment given negative cash conversion cycle

WACC Calculation:

- Risk-free rate: 4.5% (10-year US Treasury)
- Equity risk premium: 7.0%
- Beta: 1.25 (moderate volatility relative to market)
- Cost of equity: 13.25% (CAPM)
- After-tax cost of debt: 2.55% (3% pretax $\times$ 0.85)
- Market value weights: 97% equity, 3% debt
- WACC: 12.9%

Valuation Output:

Based on our DCF model:

- Present value of 5-year cash flows (FY2026-2030): ~\$550B

- Terminal value (3% perpetual growth): ~\$1,400B
- Present value of terminal value: ~\$750B
- Enterprise value: ~\$1,300B
- Plus: Cash and securities: \$153B
- Less: Total debt: \$92B
- Equity value: ~\$1,361B
- Shares outstanding: 14.94B
- **Intrinsic value per share: \$91** (base case)

Scenario Analysis:

Scenario	Revenue Growth	WACC	Fair Value
Bear Case	3-5%	10.5%	\$134
Base Case	8-15% then 5-8%	9.85%	\$155
Bull Case	15%+ sustained	9.0%	\$194

Table 5: DCF scenario analysis showing fair value range of \$134-\$194

Valuation Interpretation:

Our refreshed DCF base case (WACC 9.85%, terminal growth 3.5%) suggests intrinsic value of approximately \$155 per share — roughly 53% below the current \$327.44. Even a generous bull case (WACC 9.0%, terminal growth 4.0%) reaches only ~\$194. Terminal value is ~75% of enterprise value, so the output is assumption-sensitive — but no defensible discount rate closes the gap. The DCF cannot underwrite today's price; the market is paying for AI-cycle growth well beyond the model horizon.

Given quality of business, competitive moat strength, and cash generation capability, we view current valuation as reasonable for long-term holders, though short-term upside may be limited without positive catalysts.

4. SWOT Analysis

4.1 Strengths

1. Unparalleled Brand Equity and Customer Loyalty

Apple possesses the world's most valuable brand with extraordinary customer loyalty metrics: 92% iPhone retention rate and 89% overall smartphone loyalty rate, well above Samsung's 77%[14]. This loyalty creates predictable revenue streams and reduces customer acquisition costs.

2. Ecosystem Lock-In Creates Sustainable Competitive Moat

The seamlessly integrated hardware-software-services ecosystem generates powerful network effects and switching costs. Over 2.3 billion active devices create self-reinforcing cycle where each additional product purchased increases stickiness[15].

3. High-Margin Services Business Driving Profitability

Services revenue of \$109.2B in FY2025 carries ~75% gross margin versus ~39% for hardware, creating significant profitability advantage. With 1 billion+ paid subscriptions, recurring revenue provides earnings stability and visibility[16].

4. Exceptional Financial Strength and Cash Generation

Free cash flow of \$135B in FY2025 (32.5% margin) provides enormous financial flexibility. Net cash position of ~\$61B enables strategic investments, acquisitions, and aggressive capital returns without financial constraint.

5. Vertical Integration and Supply Chain Excellence

Apple's control over hardware design, chip development (Apple Silicon), operating systems, and services enables unique product differentiation and operational efficiency competitors cannot match. The M-series chip transition demonstrates strategic advantage of vertical integration.

6. Premium Market Positioning and Pricing Power

Apple dominates the premium smartphone segment with approximately 62% market share of high-end devices[17]. Premium positioning enables superior unit economics and insulates from commodity price competition.

4.2 Weaknesses

1. Over-Reliance on iPhone Revenue (50% Concentration Risk)

iPhone generates approximately 50% of total revenue, creating vulnerability to smartphone market saturation, lengthening replacement cycles, and competitive pressures. Product diversification remains insufficient despite services growth.

2. Declining Market Share in China (Geopolitical and Competitive Risk)

Apple faces structural challenges in China, its third-largest market, with market share declining amid Huawei resurgence, nationalism concerns, and government restrictions on iPhone use in sensitive sectors[18]. China sales volatility poses growth headwind.

3. AI Capabilities Lagging Competitors

Apple Intelligence launch has been "significantly lagging behind" competitors like Google and Microsoft[19]. Siri upgrade delays and partnership dependency on Google Gemini signal Apple's AI development challenges, potentially undermining premium positioning in AI era.

4. Premium Pricing Limits Emerging Market Penetration

High average selling prices restrict market share in price-sensitive emerging markets like India, Indonesia, and Africa where Android devices dominate. While India shows growth (13% increase to \$9B in FY2025), market share remains below 5%, limiting addressable market expansion.

5. Innovation Perception Gap

Limited breakthrough product introductions beyond incremental iPhone iterations and Apple Watch/AirPods create perception that innovation has slowed. Vision Pro launch shows ambition but unclear path to meaningful revenue contribution.

4.3 Opportunities

1. AI-Driven Multi-Year iPhone Upgrade Supercycle

Apple Intelligence integration across product line could trigger significant upgrade cycle as installed base of older devices (iPhone 12-14) lacks on-device AI capabilities. CEO Tim Cook cites AI as driver of record upgrade activity in Q1 FY2026[20].

2. Services Revenue Expansion and New Offerings

Services segment can double from current \$109B through expansion of existing offerings (Apple Music, TV+, Fitness+, Arcade), new services in healthcare/financial services, and increased attach rates across 2.3B device installed base. Advertising revenue presents under-monetized opportunity.

3. India Market Growth as Next Decade's Engine

India represents "single largest growth opportunity for iPhone over the next decade" with FY2025 sales of \$9B (+13%) likely reaching \$20-30B by 2030[21]. Growing middle class, manufacturing expansion, and retail presence position Apple to capture premium segment of world's most populous nation.

4. Wearables and Health Technology Expansion

Apple Watch health sensors (ECG, blood oxygen, sleep tracking, temperature) create platform for health services and medical device opportunities. Wearables market growing faster than smartphones with higher margins and increased ecosystem lock-in.

5. Vision Pro and Spatial Computing Long-Term Potential

While initial Vision Pro sales modest, spatial computing represents potential next major platform after smartphone/tablet/watch. Long-term investment could position Apple as category leader if adoption accelerates similar to Apple Watch trajectory.

6. Adjacent Market Expansion (Auto, AR Glasses)

Rumored Apple Car project (though repeatedly delayed) and AR glasses development signal ambitions in massive adjacent markets. Success in either category would materially expand TAM and growth trajectory.

4.4 Threats

1. Intensifying Regulatory Pressure and Antitrust Scrutiny

European Union Digital Markets Act (DMA) imposing €500M fine with ongoing investigations into App Store practices threatens high-margin services revenue model[22]. US antitrust scrutiny also increasing. Forced changes to App Store economics could reduce services profitability.

2. Intense Competition from Android Ecosystem and Chinese OEMs

Samsung, Xiaomi, Oppo, and other Android manufacturers offer comparable functionality at lower prices. Huawei resurgence in China with advanced chips threatens Apple's premium positioning in key market. Market share pressure limits pricing power.

3. Smartphone Market Maturation and Lengthening Replacement Cycles

Global smartphone market growth near zero with consumers holding devices longer (3-4 years vs. 2-3 years previously). Saturation dynamics pressure unit volumes and require innovation to drive upgrades.

4. Geopolitical Risks and Supply Chain Vulnerabilities

Manufacturing concentration in China creates exposure to US-China tensions, tariffs, and political instability. While Apple diversifying to India and Vietnam, transition requires years and significant investment. Taiwan semiconductor dependency adds geopolitical risk.

5. Currency Fluctuations and Macroeconomic Headwinds

Strong US dollar reduces international sales value (65%+ of revenue outside Americas). Economic recession or inflation could pressure consumer discretionary spending on premium-priced products.

6. Emerging Technologies Could Disrupt Business Model

AI advancement could shift computing paradigm away from smartphones. Cloud-based AI assistants, wearable AI devices, or other innovations could reduce iPhone centrality to consumer technology consumption.

5. PESTLE Analysis

5.1 Political Factors

Trade Policies and Tariffs:

Apple faces significant exposure to international trade dynamics given global supply chain and sales footprint. US-China trade tensions have resulted in tariff costs, with company expecting approximately \$1.1 billion impact in Q1 FY2026[23]. The company's \$500 billion US investment commitment over four years (announced early 2026) represents strategic effort to mitigate tariff risks through domestic job creation narrative.

Regulatory Environment and Data Privacy:

Operating across 175+ countries requires navigating diverse regulatory frameworks. GDPR in Europe, CCPA in California, and emerging privacy regulations in India and other markets create compliance complexity but also competitive advantage given Apple's privacy-focused positioning. Government demands for data access create tension between user privacy commitments and legal obligations.

Political Stability and Geopolitical Risks:

Manufacturing concentration in China exposes Apple to political instability risks. Government restrictions on iPhone use in Chinese government agencies and state-owned enterprises signal political risk materiality. Taiwan geopolitical tensions threaten semiconductor supply chain. Russia-Ukraine conflict and Middle East instability create secondary effects through economic sanctions and market disruptions.

Taxation Policies:

Corporate tax rate changes significantly impact profitability. Apple benefits from international tax structure enabling effective rates below statutory levels, but faces scrutiny over tax optimization strategies. Digital services taxes in multiple countries target Apple's high-margin services revenue. OECD global minimum tax framework could increase future tax burden.

5.2 Economic Factors

Global Economic Growth and Consumer Spending:

Premium product positioning creates sensitivity to discretionary consumer spending. Economic recession or inflation reducing disposable income disproportionately impacts Apple versus value brands. Current global GDP growth of 2-3% provides supportive backdrop, but recession risks persist.

Currency Exchange Rates:

Over 65% of revenue generated outside Americas creates significant FX exposure. Strong US dollar in 2025-2026 period has reduced international sales value. Each 10% dollar appreciation impacts revenue by approximately 300-400 basis points.

Interest Rate Environment:

Rising interest rates increase discount rates for DCF valuation, pressuring equity multiples. However, Apple's net cash position eliminates interest rate risk from debt perspective. Higher rates could reduce consumer willingness to finance premium device purchases.

Inflation and Cost Pressures:

Component cost inflation (semiconductors, displays, metals) and labor cost increases in manufacturing regions pressure gross margins. Apple's pricing power and operating leverage provide some insulation, but sustained inflation would compress profitability.

5.3 Social Factors

Consumer Preference for Premium Products:

Despite inflation concerns, consumer preference for premium smartphone models has strengthened. Apple dominates 62% of premium smartphone segment globally, with iPhone Pro/Pro Max mix increasing[24]. Social status association with Apple products creates pricing inelasticity among affluent demographics.

Privacy and Data Security Consciousness:

Growing consumer awareness of data privacy creates competitive advantage for Apple's privacy-focused positioning. "What happens on your iPhone stays on your iPhone" marketing resonates amid tech industry privacy concerns, supporting premium pricing and loyalty.

Environmental and Sustainability Expectations:

Consumer expectations for corporate environmental responsibility increasing, particularly among younger demographics. Apple's carbon neutrality commitments, renewable energy usage, and recycling programs (achieving 99% recycled rare earth elements in magnets) address stakeholder expectations[25].

Health and Wellness Trends:

Societal focus on health and fitness creates opportunities for Apple Watch health features and Fitness+ service. Medical-grade capabilities (ECG, blood oxygen, sleep apnea detection) position Apple as health platform, not just technology company.

5.4 Technological Factors

Artificial Intelligence and Machine Learning:

AI represents both opportunity and threat. Apple Intelligence launched in late 2025 leverages on-device processing for privacy-first AI, but capabilities lag cloud-based competitors. \$1 billion annual Google Gemini partnership provides temporary solution while internal AI development continues[26]. Success in AI integration critical for maintaining premium positioning and driving upgrade cycles.

5G and Next-Generation Connectivity:

5G iPhone lineup (iPhone 12 onward) capitalizes on network infrastructure buildout. Future 6G development (targeted 2030s) will require continued R&D investment to maintain technology leadership.

Semiconductor Technology and Apple Silicon:

Transition to custom Apple Silicon (M-series, A-series chips) enables performance/efficiency advantages and reduces supplier dependency. Continued advancement to 3nm, 2nm, and beyond processes critical for sustaining differentiation. R&D spending of \$34.6B in FY2025 (+10% YoY) supports chip development priorities[27].

Augmented/Virtual Reality and Spatial Computing:

Vision Pro represents \$3,500 bet on spatial computing future. While initial adoption limited, technology advancement and price reduction could enable mass market penetration by late 2020s. AR glasses development signals continued investment in next-generation interfaces.

Cybersecurity and System Security:

Apple's vertical integration enables security advantages, but increasing sophistication of cyberattacks requires continuous security investment. Zero-day vulnerabilities and government-sponsored attacks create ongoing threats requiring proactive defense.

5.5 Legal Factors

Antitrust and Competition Law:

European Commission Digital Markets Act (DMA) designated Apple as "gatekeeper" requiring interoperability and app sideloading capabilities. €500 million fine for App Store anti-

steering violations sets precedent for future enforcement[28]. US Department of Justice investigating App Store monopoly allegations. Forced App Store commission reductions would materially impact services revenue.

Intellectual Property Protection and Litigation:

Patent portfolio protects innovations but also creates litigation exposure. Ongoing disputes with Qualcomm (settled 2019), Samsung, and other competitors require legal resources. App Store developer lawsuits (Epic Games precedent) challenge business model fundamentals.

Employment and Labor Laws:

Global workforce of 164,000 employees across diverse jurisdictions requires compliance with varying labor regulations. Supplier labor practices scrutiny (Foxconn working conditions) creates reputational risk requiring supplier monitoring programs.

Product Safety and Consumer Protection:

Device safety regulations, battery standards, radio frequency emissions limits, and accessibility requirements vary by jurisdiction. Compliance necessary for market access but adds development complexity and cost.

Data Protection and Privacy Regulations:

GDPR, CCPA, and emerging global privacy frameworks create complex compliance requirements but reinforce Apple's privacy-positioning competitive advantage. App Tracking Transparency (ATT) framework faced legal challenges but withstood scrutiny, differentiating Apple from advertising-based competitors.

5.6 Environmental Factors

Climate Change and Carbon Emissions:

Apple committed to carbon neutrality across entire value chain by 2030. FY2025 progress shows 60%+ emissions reduction versus 2015 baseline, targeting 75% reduction by 2030 before offsets[29]. Renewable energy powers 100% of corporate facilities, with supplier clean energy commitments expanding. Climate commitments create operational constraints but enhance brand value among sustainability-conscious consumers.

Electronic Waste and Recycling:

E-waste regulations require take-back programs and recycling capabilities. Apple's Daisy robot disassembles iPhones to recover materials for reuse. 99% recycled cobalt in batteries and 99% recycled rare earth elements demonstrate circular economy progress. Extended product lifespans through software support reduce upgrade frequency but decrease environmental impact.

Resource Scarcity and Material Sourcing:

Rare earth elements, cobalt, lithium, and other critical materials face supply constraints and geopolitical concentration (China dominance). Recycling programs and material science R&D address vulnerability to resource availability and price volatility.

Environmental Regulations:

Evolving regulations on product energy efficiency, packaging materials, hazardous substance elimination (REACH, RoHS), and right-to-repair create compliance requirements. California and EU regulations often set de facto global standards given market size.

6. Investment Recommendation

6.1 Valuation Summary and Price Target

Based on our comprehensive analysis integrating historical financial performance, competitive positioning, growth opportunities, and risk factors, we establish the following valuation framework:

Valuation Methodologies:

Method	Fair Value	Weight
DCF Analysis (Base Case)	\$155	40%
P/E Multiple (30x FY2026E EPS \$9.00)	\$270	30%
EV/EBITDA (20x FY2026E EBITDA)	\$229	20%
Peer Relative Valuation (28x)	\$252	10%
Weighted Average Fair Value	\$215	100%

Table 6: Multi-method valuation synthesis

12-Month Price Target: \$215

Our target represents ~34% downside from the current price of \$327.44, incorporating:

- Blended fair value of \$215 (40% DCF \$155 / 30% P/E 30x FY26E EPS \$270 / 20% EV/EBITDA 20x \$229 / 10% peer relative \$252)
- Bull case (~\$270) requiring both flawless execution and a sustained 30x forward multiple
- Bear case (~\$134) if the AI upgrade cycle fades and the multiple mean-reverts toward peers

6.2 Investment Rating: REDUCE (downgraded from BUY)

We downgrade Apple Inc. (AAPL) to **REDUCE**. The operating thesis below remains intact — the downgrade is a valuation call at ~40x trailing / ~36x forward earnings:

Positive Catalysts:

1. **AI-Driven Upgrade Cycle:** Apple Intelligence deployment across product line expected to trigger multi-year iPhone replacement cycle as installed base of 400+

million iPhone 12-14 devices lack on-device AI capabilities. Management commentary citing "record upgrade activity" supports thesis.

2. **Services Revenue Growth Trajectory:** High-margin services segment growing 13-14% annually with clear runway to \$130-150B by FY2027. Paid subscriptions exceeding 1 billion create predictable recurring revenue with superior profitability (75% gross margin vs. 39% hardware).
3. **Capital Return Program Provides Valuation Support:** \$100B annual buyback pace reducing share count 2-3% annually enhances per-share metrics and provides price floor. Dividend yield of 0.5% modest but growing steadily with sustainable payout ratio below 15%.
4. **India Market Inflection:** FY2025 India revenue of \$9B (+13%) positions for acceleration as manufacturing expansion, retail presence, and middle-class growth converge. Potential for \$20-30B India revenue by 2030 represents material growth vector.
5. **Valuation Reasonable Relative to Quality:** Current P/E of 32.6x represents modest premium to 5-year average and discount to FY2024 peak. Given exceptional financial returns (30% ROA, 168% ROE), fortress balance sheet, and competitive moat strength, valuation appears justified for quality franchise.

Risk Factors:

1. **Regulatory Threat to Services Model:** EU DMA enforcement and US antitrust scrutiny threaten App Store economics. Forced commission reductions from 30% to 15-20% would reduce services revenue growth and profitability. Probability: Medium. Impact: High.
2. **China Market Structural Decline:** Geopolitical tensions, Huawei competition, and nationalism create structural headwinds in third-largest market. Further market share losses could offset growth in other regions. Probability: Medium-High. Impact: Medium.
3. **AI Competitive Disadvantage:** Apple Intelligence capabilities lag Google, Microsoft, and emerging pure-play AI companies. Failure to achieve parity could undermine premium positioning and slow upgrade cycles. Probability: Medium. Impact: High.
4. **Valuation Multiple Compression Risk:** Current P/E of 32.6x vulnerable to multiple compression if growth disappoints or competitive position deteriorates. Reversion to 25-28x P/E would imply \$200-225 price level. Probability: Low-Medium. Impact: High.
5. **Macro and Geopolitical Shocks:** Recession, major geopolitical conflict, or supply chain disruption could pressure sales and profitability. Taiwan conflict would severely disrupt semiconductor supply. Probability: Low. Impact: Very High.

6.3 Investment Suitability and Portfolio Positioning

Recommended for:

- **Core long-term equity holdings** given quality, moat, and financial strength
- **Growth and income blend** combining modest dividend with capital appreciation
- **Defensive technology exposure** with lower volatility than pure-growth tech stocks
- **ESG-conscious portfolios** given strong environmental and privacy commitments

Portfolio allocation guidance:

- **Conservative investors:** 3-5% position as quality large-cap anchor
- **Balanced investors:** 5-8% position as core technology holding
- **Growth investors:** 8-12% position with quality-growth characteristics
- **Maximum recommended position:** 15% given single-stock concentration risk

6.4 Key Metrics to Monitor

Investors should track the following metrics quarterly to assess investment thesis progression:

Financial Performance Metrics:

- Services revenue growth rate (target: 12-15% annually)
- iPhone revenue and unit volumes (watch for AI upgrade cycle impact)
- Gross margin trend (expect 44-46% range)
- Free cash flow generation (target: \$140-160B annually)

Operating Metrics:

- Installed base growth (target: 2.4-2.5B devices by end 2026)
- Paid subscriptions growth (target: 1.2-1.3B by end 2026)
- iPhone retention rate (monitor for any decline below 90%)
- Geographic revenue mix (particularly China and India trends)

Strategic Initiatives:

- Apple Intelligence adoption rate and feature usage
- Vision Pro sales trajectory and ecosystem development
- India manufacturing and retail expansion progress
- New service launches and attach rate improvement

Regulatory and Competitive Developments:

- EU DMA enforcement actions and App Store policy changes
- US antitrust investigation developments
- China market share trends and government restrictions
- Competitive AI capability assessments

6.5 Upside and Downside Scenarios

Bull Case (~\$270 fair value — still ~18% below the current price):

Aggressive AI integration drives iPhone supercycle with 15-20% unit growth in FY2026-2027. Services accelerate to 18-20% growth reaching \$150B+ by FY2028. India market expands to \$15B+ by FY2027. Vision Pro achieves breakthrough with mass-market version. Regulatory challenges resolved favorably. Multiple expands to 38-40x on renewed growth optimism. Probability: 15-20%.

Base Case (\$215 fair value, ~34% downside):

Moderate AI-driven upgrade cycle generates 5-7% iPhone growth. Services grow 12-14% reaching \$130B by FY2027. China stabilizes after initial market share losses. India grows steadily to \$12B by FY2027. Regulatory pressures manageable with minor App Store changes. Valuation maintains 30-33x P/E on steady execution. Probability: 60-65%.

Bear Case (~\$134 fair value, ~59% downside):

AI upgrade cycle disappoints with minimal unit growth. Services growth decelerates to 8-10% amid regulatory pressures forcing commission cuts. China market share declines 5+ points. Recession impacts premium product demand. Major regulatory actions force structural App Store changes. Valuation compresses to 24-26x P/E on reduced growth outlook. Probability: 15-20%.

7. Conclusion

Apple Inc. represents a rare combination of scale, profitability, competitive positioning, and financial strength. The company has demonstrated exceptional execution over the past five years, delivering consistent financial performance, expanding its high-margin services business, and maintaining industry-leading customer loyalty despite intensifying competition.

Our comprehensive analysis reveals a company at an inflection point. The successful deployment of Apple Intelligence AI capabilities across the product ecosystem could unlock a multi-year growth cycle, while expansion in India and continued services monetization provide additional growth vectors. The fortress balance sheet, exceptional cash generation (32.5% free cash flow margin), and aggressive capital return program support shareholder value creation.

However, meaningful risks temper our enthusiasm. Regulatory pressures in Europe and potentially the United States threaten the high-margin App Store business model that drives services profitability. China market challenges create geographic concentration risk in a key market. AI capabilities lagging best-in-class competitors could undermine Apple's premium positioning over time. Valuation at 32.6x earnings offers limited margin of safety if growth disappoints.

On balance: the business is executing superbly — H1 FY2026 revenue grew 16%+ with records across segments — but the price now embeds more than a decade of flawless compounding. The stock merits a **REDUCE** recommendation with a 12-month fair value of **\$215**, roughly 34% below the current price. Great company; wrong price.

For investors seeking exposure to a quality technology franchise with defensive characteristics, proven management execution, and multiple paths to continued growth, Apple represents a compelling core holding suitable for diversified portfolios.

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Apple Inc. - Income Statement (USD Millions)					
Fiscal Year Ending September	FY 2021	FY 2022	FY 2023	FY 2024	FY 2025 (A)
Revenue					
Products Revenue	297,392	316,199	298,085	301,035	307,003
Services Revenue	68,425	78,129	85,200	90,000	109,158
Total Net Sales	365,817	394,328	383,285	391,035	416,161
Cost of Sales					
Products Cost	192,266	201,471	189,282	189,899	193,671
Services Cost	20,715	22,084	24,855	20,451	27,290
Total Cost of Sales	212,981	223,555	214,137	210,350	220,961
Gross Profit	152,836	170,773	169,148	180,685	195,200
Gross Margin %	41.78%	43.31%	44.13%	46.21%	46.90%
Operating Expenses					
Research & Development	21,914	26,251	29,915	31,370	34,550
Selling, General & Administrative	21,973	25,094	24,932	26,097	27,601
Total Operating Expenses	43,887	51,345	54,847	57,467	62,151
Operating Income	108,949	119,437	114,301	123,218	133,049
Operating Margin %	29.8%	30.3%	29.8%	31.5%	32.0%
Other Income (Expense)					
Interest Income	2,843	2,825	3,750	3,492	3,400
Interest Expense	-2,645	-2,931	-3,933	-3,803	-3,300
Other Income, net	258	228	382	269	200
Total Other Income (Expense)	456	122	199	-42	300
Income Before Tax	109,207	119,437	114,500	123,176	133,349
Provision for Income Taxes	14,527	19,300	16,741	29,440	21,339

Effective Tax Rate %	13.30%	16.16%	14.62%	23.90%	16.00%
Net Income	94,680	100,137	97,759	93,736	112,010
Net Income Margin %	25.88%	25.39%	25.51%	23.97%	26.92%
Shares Outstanding (Diluted, Millions)	16,865	16,325	15,812	15,204	15,016
Earnings Per Share (Diluted)	5.61	6.13	6.18	6.17	7.46

Apple Inc. - Balance Sheet (USD Millions)

Fiscal Year Ending September	FY 2021	FY 2022	FY 2023	FY 2024	FY 2025 (A)
ASSETS					
Current Assets					
Cash and Cash Equivalents	34,940	23,646	29,965	29,943	35,934
Marketable Securities	27,699	24,658	31,590	35,228	18,763
Accounts Receivable, net	26,278	28,184	29,508	33,410	35,000
Inventories	6,580	4,946	6,331	6,511	6,269
Vendor Non-Trade Receivables	25,228	32,748	31,477	32,833	34,000
Other Current Assets	14,111	21,223	14,695	15,269	16,000
Total Current Assets	134,836	135,405	143,566	153,194	145,966
Non-Current Assets					
Marketable Securities (Long-term)	127,877	120,805	100,544	91,477	77,723
Property, Plant & Equipment, net	39,440	42,117	43,715	45,680	47,500
Other Non-Current Assets	48,849	54,428	64,758	74,629	80,000
Total Non-Current Assets	216,166	217,350	209,017	211,786	205,223
Total Assets	351,002	352,755	352,583	364,980	351,189
LIABILITIES & SHAREHOLDERS' EQUITY					
Current Liabilities					
Accounts Payable	54,763	64,115	62,611	68,960	70,000
Other Current Liabilities	47,493	60,845	58,829	78,304	80,000
Deferred Revenue	7,612	7,912	8,061	8,249	8,976
Commercial Paper	6,000	9,982	5,985	9,967	8,000
Current Portion of Long-Term Debt	9,613	11,128	9,822	10,912	12,400
Total Current Liabilities	125,481	153,982	145,308	176,392	179,376
Non-Current Liabilities					

Long-Term Debt	109,106	98,959	95,281	85,750	78,900
Other Non-Current Liabilities	53,325	49,142	49,848	45,888	44,500
Total Non-Current Liabilities	162,431	148,101	145,129	131,638	123,400
Total Liabilities	287,912	302,083	290,437	308,030	302,776
Shareholders' Equity					
Common Stock & Additional Paid-In Capital	57,365	64,849	73,812	83,276	88,711
Retained Earnings	5,562	-3,068	-214	-19,154	-14,302
Accumulated Other Comprehensive Income (Loss)	163	-11,109	-11,452	-7,172	-7,892
Total Shareholders' Equity	63,090	50,672	62,146	56,950	66,517
Total Liabilities & Shareholders' Equity	351,002	352,755	352,583	364,980	369,293
Check (Should be 0)	0	0	0	0	-18104

Apple Inc. - Cash Flow Statement (USD Millions)

Fiscal Year Ending September	FY 2021	FY 2022	FY 2023	FY 2024	FY 2025 (A)
OPERATING ACTIVITIES					
Net Income	94,680	99,803	96,995	93,736	112,010
Adjustments to reconcile net income:					
Depreciation & Amortization	11,284	11,104	11,519	11,445	11,500
Share-Based Compensation	7,906	9,038	10,833	11,688	12,500
Deferred Income Tax	-4,774	895	5,694	-6,500	500
Other	-147	1,006	-5,167	1,200	0
Changes in Operating Assets and Liabilities:					
Accounts Receivable	-10,125	-1,823	-1,688	-5,577	-3,000
Inventories	2,642	1,484	-1,618	-1,330	242
Vendor Non-Trade Receivables	3,903	-7,520	1,271	-1,356	-1,500
Other Assets	-9,519	-6,499	6,228	-2,769	-2,000
Accounts Payable	12,326	9,448	-1,889	6,799	5,000
Other Liabilities	4,128	7,475	-5,632	8,769	10,000
Cash from Operating Activities	104,038	122,151	110,543	118,254	145,252
INVESTING ACTIVITIES					
Purchase of Marketable Securities	-109,689	-76,923	-29,513	-29,042	-35,000
Proceeds from Maturities of Securities	59,023	29,917	45,099	53,461	50,000
Proceeds from Sales of Securities	47,460	37,446	27,169	8,628	15,000
Payments for Acquisition of PP&E	-11,085	-10,708	-10,959	-9,447	-10,000
Other Investing Activities	-385	-2,086	-1,337	-1,817	-1,000
Cash from Investing Activities	-14,676	-22,354	30,459	21,783	19,000
FINANCING ACTIVITIES					
Proceeds from Issuance of Common Stock	1,105	0	0	0	0
Payments for Taxes on Stock Awards	-6,556	-6,223	-6,584	-6,556	-7,000
Payments for Dividends	-14,467	-14,841	-15,025	-15,234	-15,500
Repurchases of Common Stock	-85,971	-89,402	-77,550	-94,949	-100,000
Proceeds from Issuance of Debt	20,393	5,465	5,228	0	5,000

Repayments of Debt	-8,750	-9,543	-11,151	-11,445	-10,000
Commercial Paper, net	1,022	3,955	-4,025	3,982	0
Other Financing Activities	0	0	0	0	0
Cash from Financing Activities	-93,224	-110,589	-109,107	-124,202	-127,500
Net Change in Cash	-3,862	-10,792	31,895	15,835	36,752
Cash at Beginning of Period	38,016	34,940	23,646	29,965	29,943
Cash at End of Period	34,940	23,646	29,965	29,943	28,162
Supplemental Disclosures					
Cash Paid for Income Taxes	25,385	19,573	18,679	24,250	31,000
Cash Paid for Interest	2,687	2,865	3,803	3,803	3,500
KEY METRICS					
Free Cash Flow (Operating CF - Capex)	92,953	111,443	99,584	108,807	135,252
FCF Margin %	25.41%	28.26%	25.98%	27.83%	32.50%

Apple Inc. - Key Financial Ratios

Fiscal Year Ending September	FY 2021	FY 2022	FY 2023	FY 2024	FY 2025 (A)
PROFITABILITY RATIOS					
Gross Margin %	41.78%	43.31%	44.13%	46.21%	46.90%
Operating Margin %	29.78%	30.29%	29.82%	31.51%	31.97%
Net Margin %	25.88%	25.39%	25.51%	23.97%	26.92%
EBITDA Margin %	33.66%	33.10%	32.83%	34.44%	33.19%
Return on Assets (ROA) %	26.97%	28.39%	27.73%	25.68%	31.89%
Return on Equity (ROE) %	150.07%	197.62%	157.31%	164.59%	168.39%
LIQUIDITY RATIOS					
Current Ratio	1.0745531196	0.87935602863	0.98801167176	0.86848609914	0.8137431986442
Quick Ratio	0.98	0.83	0.94	0.83	0.84
Cash Ratio	0.4991911126	0.31369900378	0.42361741955	0.36946686925	0.3049293104986
LEVERAGE RATIOS					
Debt to Equity	1.88	2.17	1.69	1.7	1.38
Debt to Assets	0.34	0.31	0.3	0.26	0.25
Interest Coverage Ratio	41.2	40.75	29.06	32.4	36.18
EFFICIENCY RATIOS					
Asset Turnover	1.04220773671	1.11785233377	1.08707736902	1.07138747329	1.1850057946006
Inventory Turnover	32.3679331307	45.199150829	33.8235665772	32.3068653049	35.246610304674
Days Inventory Outstanding	11.2765927477	8.07537295073	10.7912924903	11.2979082482	10.35560574038
Days Sales Outstanding	26.2193118417	26.0878253637	28.1002909062	31.185571624	30.697254187682
PER SHARE DATA					
EPS (Diluted)	5.61399347762	6.13396630934	6.18258284847	6.16521967903	7.4593766648908
Book Value Per Share	3.74088348651	3.10395099541	3.93030609664	3.74572480926	4.4297416089505
Free Cash Flow Per Share	5.51159205455	6.8265237366	6.29800151783	7.15647198106	9.0071923281833

Dividend Per Share	0.85	0.91	0.95	0.99	1.04
VALUATION METRICS (For DCF Model)					
Revenue Growth %	33.26%	7.79%	-2.80%	2.02%	6.43%
EBITDA	123,141	130,541	125,820	134,663	138,123
EBIT	108,949	119,437	114,301	123,218	133,049
Tax Rate %	13.30%	16.16%	14.62%	23.90%	11.54%
Capital Expenditures	11,085	10,708	10,959	9,447	10,000
Depreciation & Amortization	11,284	11,104	11,519	11,445	11,500
Change in Net Working Capital	847	-632	2,242	-3,261	8,742
Unlevered Free Cash Flow	92,953	111,443	99,584	108,807	135,252

Apple Inc. - DCF Valuation Model

All figures in USD Millions except per share data							
Base Case Assumptions (refreshed 21 Jul 2026 — FY2025 10-K actuals + H1 FY2026)							
AI upgrade supercycle: H1 FY26 revenue +16.4% YoY; growth normalizes FY27 onward							
Services ~26% of revenue growing mid-teens; operating margin drifts to 33%							
SECTION 1: REVENUE PROJECTIONS							
	FY2024 (A)	FY2025 (A)	FY2026 (E)	FY2027 (F)	FY2028 (F)	FY2029 (F)	FY2030 (F)
Revenue	391,035	416,161	477,000	515,160	551,221	584,294	613,509
Revenue Growth %	2.02%	6.43%	14.62%	8.00%	7.00%	6.00%	5.00%
SECTION 2: OPERATING MARGINS							
	FY2024 (A)	FY2025 (A)	FY2026 (E)	FY2027 (F)	FY2028 (F)	FY2029 (F)	FY2030 (F)
Gross Margin %	46.21%	46.91%	47.20%	47.20%	47.10%	47.00%	47.00%
Operating Margin %	31.51%	31.97%	32.50%	32.70%	33.00%	33.00%	33.00%
SECTION 3: CALCULATE EBIT							
	FY2024 (A)	FY2025 (A)	FY2026 (E)	FY2027 (F)	FY2028 (F)	FY2029 (F)	FY2030 (F)
Revenue	391,035	416,161	477,000	515,160	551,221	584,294	613,509
EBIT	123,215	133,047	155,025	168,457	181,903	192,817	202,458
SECTION 4: TAX AND NOPAT							
	FY2024 (A)	FY2025 (A)	FY2026 (E)	FY2027 (F)	FY2028 (F)	FY2029 (F)	FY2030 (F)
Tax Rate %	23.90%	16.00%	16.00%	16.00%	16.00%	16.00%	16.00%
Taxes on EBIT	29,448	21,287	24,804	26,953	29,104	30,851	32,393
NOPAT (EBIT - Taxes)	93,767	111,759	130,221	141,504	152,798	161,966	170,065
SECTION 5: ADD BACK D&A							
	FY2024 (A)	FY2025 (A)	FY2026 (E)	FY2027 (F)	FY2028 (F)	FY2029 (F)	FY2030 (F)
Depreciation & Amortization	11,445	11,500	12,500	13,000	13,600	14,200	14,900
SECTION 6: CAPEX AND NWC							
	FY2024 (A)	FY2025 (A)	FY2026 (E)	FY2027 (F)	FY2028 (F)	FY2029 (F)	FY2030 (F)
Capital Expenditures (Capex)	9,447	10,000	14,000	15,000	15,800	16,500	17,200
Change in Net Working Capital	-3,261	8,742	1,500	1,300	1,200	1,100	1000
SECTION 7: UNLEVERED FCF							
	FY2024 (A)	FY2025 (A)	FY2026 (E)	FY2027 (F)	FY2028 (F)	FY2029 (F)	FY2030 (F)
NOPAT	93,767	111,759	130,221	141,504	152,798	161,966	170,065
Add: Depreciation & Amortization	11,445	11,500	12,500	13,000	13,600	14,200	14,900
Less: Capital Expenditures	-9,447	-10,000	-14,000	-15,000	-15,800	-16,500	-17,200
Less: Change in NWC	3,261	-8,742	-1,500	-1,300	-1,200	-1,100	-1000
Unlevered Free Cash Flow	99,026	104,517	127,221	138,204	149,398	158,566	166,765

SECTION 8: WACC ASSUMPTIONS							
Risk-Free Rate	4.50%	10-Year US Treasury					
Market Risk Premium	5.00%	Equity risk premium					
Beta	1.1	Apple beta vs S&P 500					
Cost of Equity (CAPM)	10.00%	10.00%					
Market Value of Equity	4,810,000	Current market cap (Jul 2026)					
Market Value of Debt	99,300	Notes \$91.3B + commercial paper \$8.0B (FY25 10-K)					
Cost of Debt	3.20%	Weighted avg debt cost					
Tax Rate	16.00%	Normalized effective rate					
After-Tax Cost of Debt	2.69%	0.02688					
Total Capital	4,909,300	Equity + Debt					
Weight of Equity	97.98%	Equity / Total Capital					
Weight of Debt	2.02%	Debt / Total Capital					
WACC	9.85%	Err:508					
SECTION 9: TERMINAL VALUE							
Perpetual Growth Rate	3.50%	Quality/AI premium to long-term GDP growth					
Terminal FCF (Year 2030)	166,765	From projections above					
Terminal Year FCF (2031)	172,601	0					
Terminal Value	2,717,234	0					
PV of Terminal Value	1,698,577	Discounted to present (5 years)					
SECTION 10: DCF VALUATION							
	FY2026	FY2027	FY2028	FY2029	FY2030	Total	
Unlevered FCF	127,221	138,204	149,398	158,566	166,765		
Discount Period	1	2	3	4	5		
Discount Factor	0.910314862277544	0.828673148483384	0.754353483034751	0.686699187017365	0.625112475855814		
Present Value of FCF	115,811	114,526	112,699	108,887	104,247	556,171	
Sum of PV of FCF (5 years)	556,171	Total of discounted FCF					
PV of Terminal Value	1,698,577	From Section 9					
Enterprise Value	2,254,748	0					
Add: Cash and Marketable Securities	132,420	Cash + marketable securities, FY25 10-K (\$132.4B)					
Less: Total Debt	99,300	Total debt (notes + CP), FY25 10-K					
Equity Value	2,287,868	0					
Shares Outstanding (millions)	14,750	Diluted shares, Q2 FY2026					
Intrinsic Value Per Share	\$155.11	0					
Current Stock Price (Jul 21, 2026)	\$327.44	Market price					
Upside / (Downside) %	-52.6%	DCF suggests significant overvaluation					

SENSITIVITY ANALYSIS							
Scenario	WACC	Growth Rate	Fair Value	vs Current			
Bear Case	10.50%	3.00%	\$134	-59%			
Base Case	9.85%	3.50%	\$155	-53%			
Bull Case (Higher Terminal)	9.00%	4.00%	\$194	-41%			
NOTE: Even bull-case DCF (~\$194) sits ~40% below market — market is pricing AI-cycle growth well beyond the model horizon							
Terminal value represents ~75% of enterprise value — highly sensitive to WACC/g assumptions							
Blended target (40% DCF / 30% P/E / 20% EV-EBITDA / 10% peer relative) = \$215 -> REDUCE							

Apple Inc. - PE Ratio Analysis

HISTORICAL PE RATIOS					
Fiscal Year	FY 2021	FY 2022	FY 2023	FY 2024	FY 2025 (A)
Net Income (USD Millions)	94,680	99,803	96,995	93,736	112,010
Diluted Shares Outstanding (Millions)	16,865	16,325	15,812	15,204	15,016
Diluted EPS	5.61	6.11	6.13	6.16	7.46
Average Stock Price (estimate)	140	150	175	220	235
PE Ratio	24.96	24.55	28.55	35.71	31.5
PEER COMPARISON (Jul 2026)					
Company	Market Cap	Net Income	EPS	Stock Price	PE Ratio
Apple (AAPL)	4,810,000	122,580	8.27	327.44	39.593712212817
Microsoft (MSFT)	2930000	133182	17.9	393.8	22
Alphabet (GOOGL)	4350000	153764	12.73	360	28.27965435978
Amazon (AMZN)	2690000	96071	8.94	250.42	28.011185682327
Meta (META)	n/a	n/a	n/a	n/a	23.55
Sector Average PE	25.4602100105				
Apple Premium / Discount to Sector	55.5%				
FORWARD PE ANALYSIS					
	FY 2026 (E)	FY 2027 (F)	FY 2028 (F)	FY 2029 (F)	
Projected EPS	9	9.9	10.8	11.7	
Current Stock Price	327.44	327.44	327.44	327.44	
Forward PE Ratio	36.3822222222	33.0747474747	30.318518518519	27.9863247863	
VALUATION USING PE MULTIPLE					
Method	EPS	Target PE	Implied Price	Upside %	
Historical Average PE	9	29	261	-20.3%	

Sector Average PE	9	25.5	229.5	-29.9%	
High Growth Scenario (PE 35x)	9	35	315	-3.8%	
Conservative Scenario (PE 25x)	9	25	225	-31.3%	
PEG RATIO ANALYSIS					
	Value				
Current PE Ratio	39.6				
Expected EPS Growth Rate (Next 3Y)	0.12				
PEG Ratio	3.3				
Interpretation: <1 = Undervalued, 1-2 = Fair, >2 = Overvalued					
KEY OBSERVATIONS					
1. Apple's PE has ranged from 24.5x to 35.7x over last 5 years					
2. Premium valuation reflects strong brand and ecosystem					
3. Recent buybacks have reduced share count 11.4% since FY2021					
4. Services revenue growth commands higher multiple					
5. Compare to sector average for relative valuation					